

THE QUIET REVOLUTION IN KENYA'S LEGAL LANDSCAPE:

From Classical Liberalism to State-Centered Regulation

Over the last few years, Kenya has undergone a legal transformation. Traditionally, Kenya's legal system inherited from English common law emphasized individual autonomy, sanctity of private property, freedom of contract, and minimal state interference in commerce. Under this old order, doctrines such as *caveat emptor* ("buyer beware") and absolute contractual freedom dominated legal thinking.

However, recent legislative amendments and constitutional reforms indicate that Kenya is moving toward a more interventionist legal order—one where the State increasingly positions itself as the guardian of social equity, national sovereignty, digital control, and public interest. This transition has been described as a "Quiet Revolution" because, although the changes are occurring through technical legal amendments, their long-term impact on property rights, commerce, taxation, and governance is enormous.

This paper examines four major legal developments shaping this revolution: land reforms, digital taxation reforms, contractual fairness reforms, and constitutional restructuring.

1. THE LAND (AMENDMENT) ACT, 2024: The End of Indefinite Ownership One of the most controversial legal developments in Kenya has been the proposed transformation of land tenure under the [Land \(Amendment\) Act, 2024](#), which discussions indicate was operationalized around 2025. The reforms introduced the conversion of certain freehold titles into 99-year leaseholds, especially in strategic or rapidly urbanizing areas.

Historically, freehold ownership represented the highest form of land ownership in Kenya. A person holding freehold title possessed land indefinitely and could pass it down from generation to generation without limitation. This system reflected English common law traditions where land ownership was treated as nearly absolute.

The philosophical shift behind the amendment is significant. The State now increasingly views land not merely as a private commodity but as a national resource that must remain subject to public oversight and future redistribution if necessary. By replacing perpetual ownership with renewable leaseholds, the government ensures that every generation retains the power to reassess land usage after a defined period.

The reform also aligns with Article 65 of the Constitution of Kenya 2010, which already restricts non-citizens from owning freehold land. Cabinet Secretary Alice Wahome publicly stated in 2024 that foreigners should not hold freehold titles and that such titles would be converted into 99-year leases.

In effect, Kenya is slowly moving from the doctrine of "absolute ownership" toward a system where the State remains the ultimate custodian of land.

2. THE TAX LAWS (AMENDMENT) ACT, 2024 AND FINANCE ACT, 2025:

Kenya's Assertion of Digital Sovereignty

Another development has occurred in Kenya's taxation system through the replacement of the Digital Service Tax (DST) with the Significant Economic Presence Tax (SEPT).

The Digital Service Tax was first introduced under the Finance Act 2020 to tax income earned by foreign digital companies operating in Kenya without a physical office. However, the [Tax Laws \(Amendment\) Act, 2024](#)—assented to on 11 December 2024 and effective from 27 December 2024—repealed DST and introduced SEPT.

The reform was further expanded under the [Finance Act, 2025](#), which widened the tax scope beyond digital marketplaces to virtually all internet-based services. The law now states that a non-resident person has “significant economic presence” if the user of the service is located in Kenya. Previously, tax systems depended heavily on physical presence. A company generally paid taxes only if it had offices, employees, or permanent establishments within a country. Kenya's SEPT regime rejects this territorial limitation; the new economic interaction itself creates taxable presence.

3. THE LAW OF CONTRACT (AMENDMENT) BILL, 2025:

Mandating Fairness

The [Law of Contract \(Amendment\) Bill, 2025](#) introduces a "reasonableness test" to contracts, restricting the absolute freedom of contract. It prohibits clauses that exclude liability for negligence and allows courts to intervene in agreements deemed unconscionable.

4. THE CONSTITUTION OF KENYA (AMENDMENT) BILL, 2025:

Strengthening Bicameralism

The [Constitution of Kenya \(Amendment\) Bill, 2025](#) aims to clarify the roles of the National Assembly and the Senate, particularly regarding the oversight of county revenues and the legislative process.

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